

Commodities

Markets, Structure, Trade examples

Commodities Market

What commodities markets can you name?

Commodities Market

Examples:

- Energy
- Agricultural/Softs
- Livestock
- Industrial Metals
- Precious Metals

Commodities Market

Examples:

- Energy: Oil, Gas, Coal, Gasoline, Heating Oil, Diesel
- Agricultural/Softs: Soybeans, Corn, Wheat, Orange Juice
- Livestock: Hogs, Cattle
- Industrial Metals: Copper, Lithium, Zinc, Iron Ore
- Precious Metals: Gold, Silver, Platinum, Palladium

Commodities Market

Drivers...

- Energy: geopolitics (oil) and seasonality (gas)
- Agricultural/Softs: weather and logistics
- Livestock: crush/feed ratio (is it more expensive to crush or feed?)
- Industrial Metals: long-term demand and supply disruptions
- Precious Metals: monetary policy, central bank demand, speculative demand

Commodities vs. other asset classes

Commodities vs. other asset classes

- Relevance to macro
 1. Rates and FX: interest rates, economic policy, data etc. (MOST RELEVANT)
 2. Commodities: supply and demand (RELEVANT BUT LESS SO)
 3. Equity and Credit: company fundamentals (LEAST RELEVANT)

Supply and demand

- Is this commodity scarce? Is it in a shortage?
 - How is this commodity used? Can its usage change? E.g. silver
 - How much supply is there for it? Can its supply be disrupted? E.g. oil

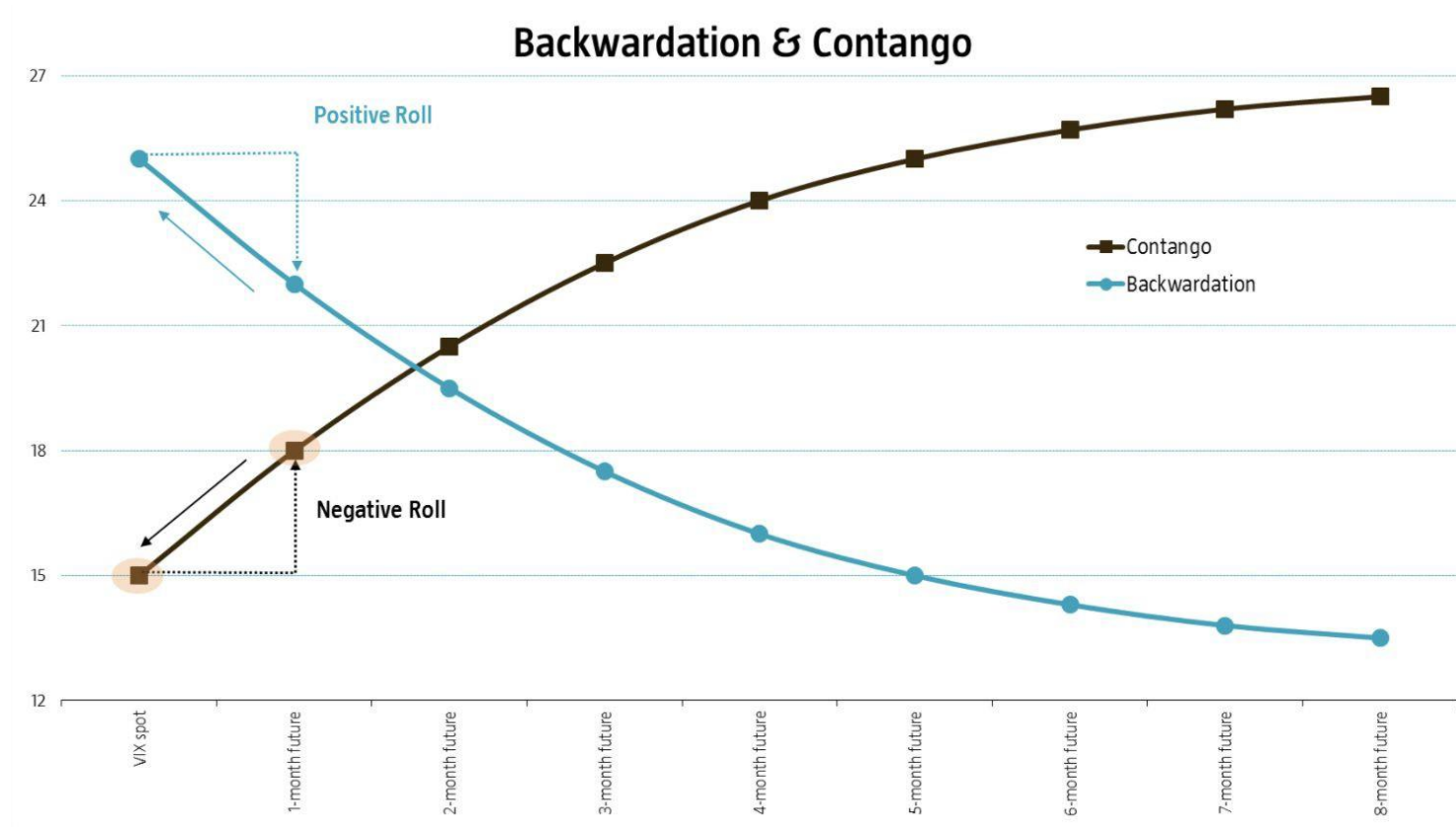
Types of Trades

1. Flat Price: e.g. Spot or Forward Price of Gold (per Oz)
2. Time Spreads: e.g. M1 - M6 time spread. Backwardation vs Contango.
3. Arbitrage Routes: e.g. Gasoline Arb, Diesel EW.
4. Supply Chain Dynamics: e.g. Crack Spreads, Crush Spreads, Spark Spreads
5. Product Diffs: e.g. ProNap, Gain Spreads.

Types of Trades

1. Flat Price: e.g. Spot or Forward Price of Gold (per Oz). Buying the commodity in isolation for usage.
2. Time Spreads: e.g. M1 - M6 time spread. Backwardation vs Contango. Storage and supply dynamics.
3. Arbitrage Routes: e.g. Gasoline Arb, Diesel EW. Price differentials in different loading bays/Physical arbitrage. Indication of relative supply/demand.
4. Supply Chain Dynamics: e.g. Crack Spreads, Crush Spreads, Spark Spreads. Reflects profits that producers make.
5. Product Diffs: e.g. ProNap, Gain Spreads. Reflects cost/price advantage from switching, can also be supply chain dynamics

Forward Curve



Forward Curve

Backwardated Market



Contango Market



Indication

What does backwardation and contango signal?

Can we construe one as “bullish” and another as “bearish” ?

Indication

Most commodities are normally in contango

Those that are in normal backwardation:

- Livestock
- Natural gas (seasonally)

Trading Process

1. Idea Generation: Is supply or demand or both being disrupted? Within what timeframe?
 1. Factors
 - Events
 - Seasonality
 - Macro
 - Relative value
 2. Risk vs. Reward: probability of winning RELATIVE TO losing?
2. Trade structure: Swaps, Futures, Options, Swaptions - what exact product and which part of the curve?
3. Positioning: Is the market long or short? What does this mean for pricing in?
4. Timing: Technical Analysis - Trend entry, Trading windows/patterns
5. Risk Management: Stop loss, Correlations, VaR

Case study: Gold

 Gold Spot / U.S. Dollar · 1W · OANDA   O4,989.930 H5,119.345 L4,878.500 C5,042.740 +78.120 (+1.57%)

5,041.090
SELL

330.0

5,044.390
BUY

Vol · Ticks 4.71 M



Gold prices disconnected from real rates when the Fed started raising interest rates



Gold Bull and Bear Cycles

Source: St. Louis Fed



Case study: Oil

CFDs on WTI Crude Oil • 1W • TVC ≈ O62.99 H65.83 L62.14 C62.80 -0.69 (-1.09%)

62.76
SELL

0.29

63.05
BUY

Vol 0

^



US SEIZES VENEZUELAN PRESIDENT MADURO



Podcast



English
FROM THE NEWS